

Underwriting Disruptors and the Future of Construction Insurance



David Bowcott

Co-Leader and Managing Director

NFP Construction & Infrastructure



Chad Hollingsworth

Co-Founder and President

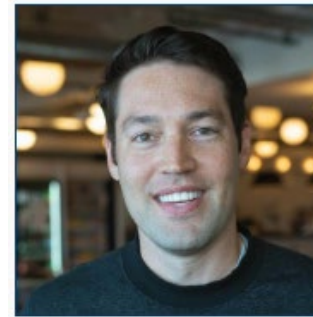
Insight Risk Technologies



Gary Kaplan

President, North American Construction

AXA XL



Justin Levine

Co-Founder and CEO

Shepherd



The Built Environment Digital Twin – Component Parts

Design & Construction Phase

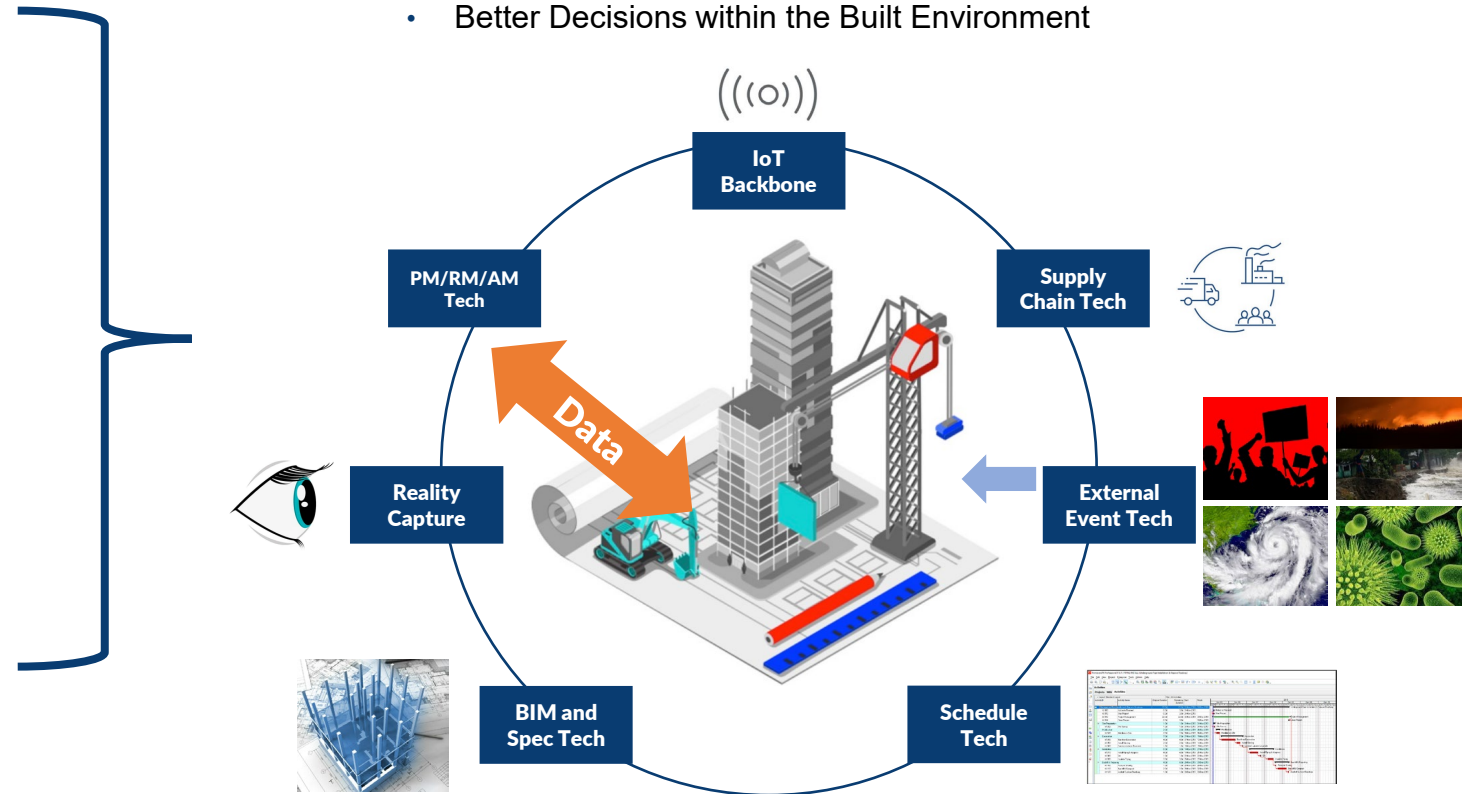
- BIM and Specification Technologies
- Scheduling Technology
- Project/Risk Management Technology
- Supply Chain Intelligence
- Reality Capture (As-Built Digital Scan)
- Construction Phase IoT Backbone
- External Risk Monitoring Technologies

Operations Phase

- Asset/Building Management System
- Reality Capture (O&M Scans)
- Operational Phase IoT Backbone
- External Risk Monitoring Technologies

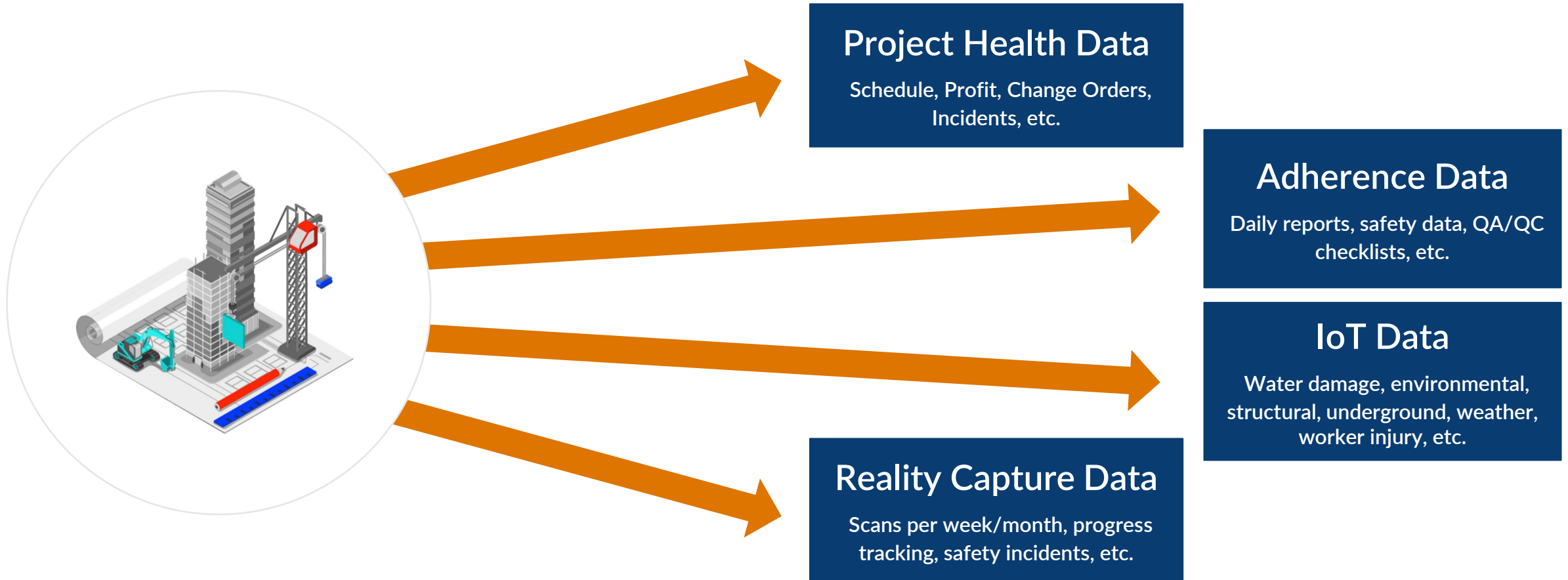
The All-Phase Digital Twin

- Aware and Transparent Built Environment
- Predictive Built Environment
- Better Decisions within the Built Environment



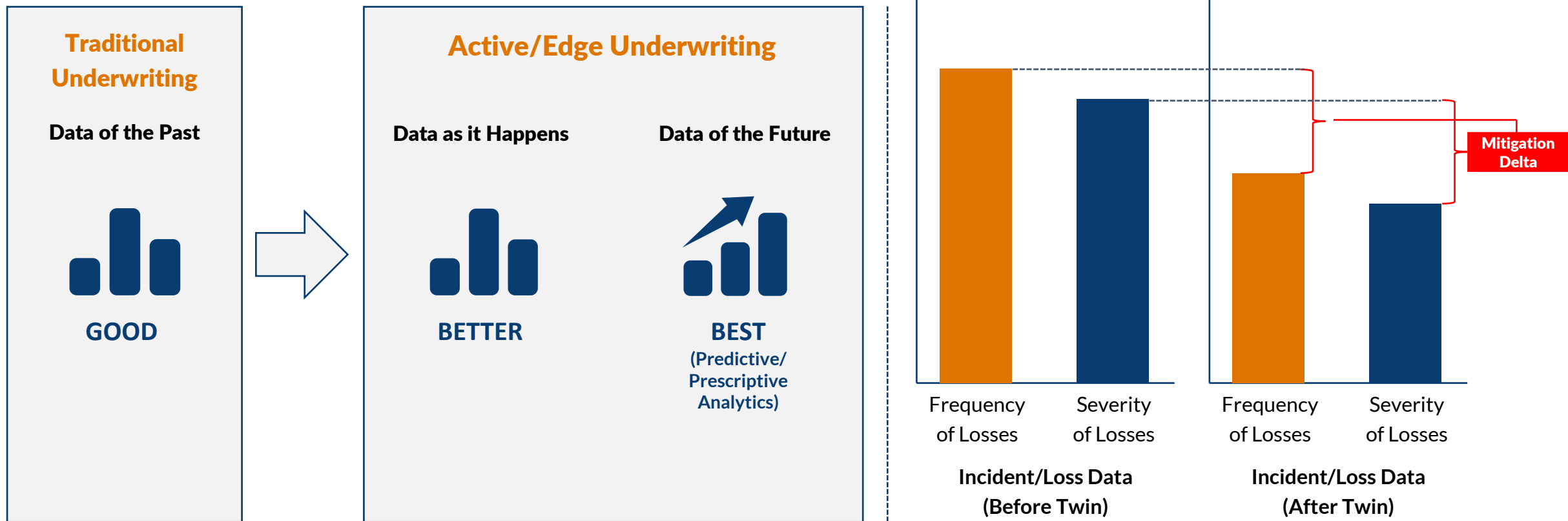
Key Risk Data from the Digital Twin

A Real-time Compliment to Traditional Underwriting Data



Active or Edge Underwriting

Complimenting Traditional Underwriting Data with Real-Time and Predictive Project Data



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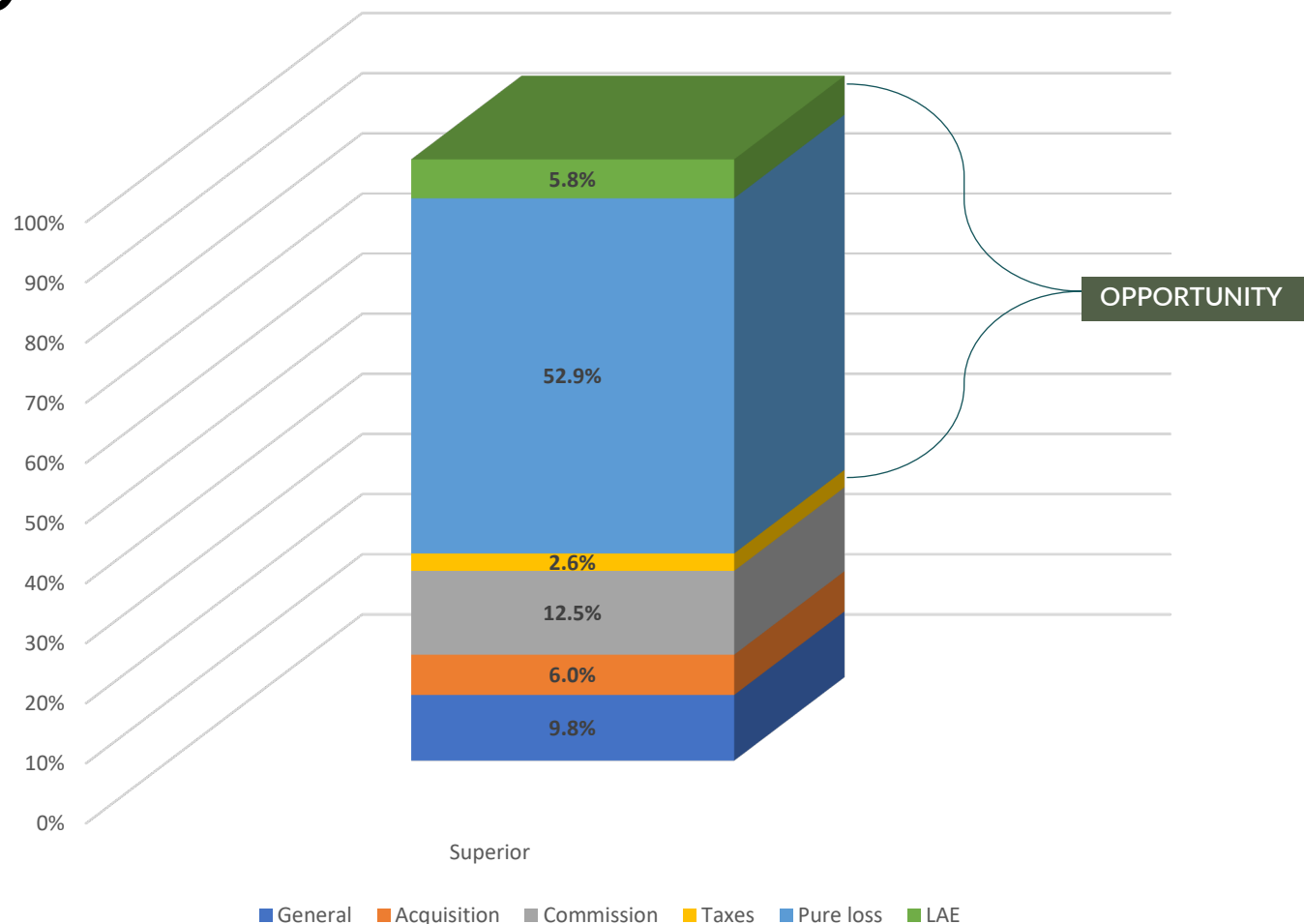
P&C Market Today

- Underwriting profit remains flat in the \$1.6 trillion (premium) global P&C industry
- Premiums struggle to keep pace with higher losses and expenses
- Insuretech investments focus on marketing/distribution strategies and expense reduction
- Few are addressing a root cause of poor financial performance: **large losses**

Welcome to Insight Risk.

Our unique business model uses IoT technology solutions to enhance profitability across the P&C value chain.

P&C Market Combined Ratios



Our Business Model



Build an insurance organization around technologies that improve loss ratios



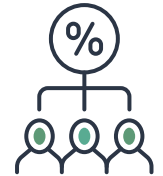
Finance and implement IoT solutions to eliminate cost barriers and reduce losses on every policy



Earn commissions on premiums placed



Profit sharing tied to superior underwriting performance



Revenue and market share growth through stakeholder alignment, strategic partnerships, data/analytics, application of technology to additional lines and verticals



CURRENT PARTNERS

CAPACITY

Munich RE 

[intact]

Velocity
Risk 

 Lancashire

DISTRIBUTION

AON

 NFP®

 Gallagher

 LOCKTON®

 USI®

 American Global


HOLMES
MURPHY.

 MARSH & MCLENNAN
AGENCY

 HYLANT



Using IoT to reduce losses in Builders Risk

Our current program provides up to \$140mm in Capacity for Superior Builder's Risk – for concrete and steel buildings under construction.



Water damage losses represent **50% of all claim payments**.



Our Loss Control approach reduces water damage losses **by up to 90%**.



Insight Risk handles all IoT procurement, logistics, training and servicing.



***Insight Risk** unlocks value by bundling loss prevention technology with comprehensive insurance coverage.*

Sources: Insurance Services Office; Industry studies

A bundled technology approach provides benefits to all stakeholders



Insureds

- Benefits of technology with no added costs
- Loss control
- Reduced project execution risk
- Competitive pricing and terms
- General Contractors, Developers



Brokers

- Comprehensive product offering
- Alleviate client headaches around technology
- Solve clients' problems at no additional cost
- Retail Agencies



Carriers

- Lower frequency and severity of claims
- Reduced volatility
- Superior underwriting performance

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President of Construction

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Payer to Partner

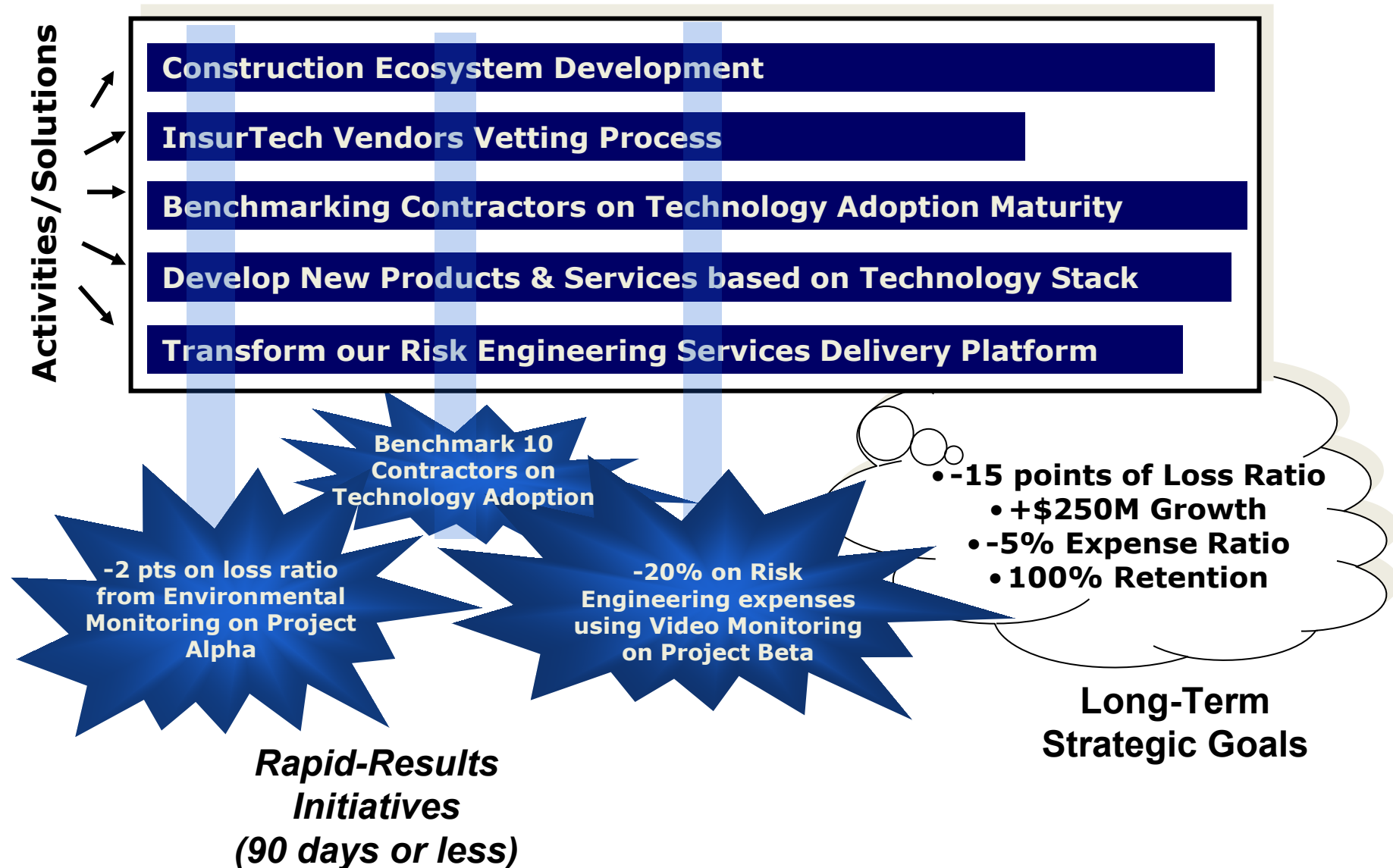
*“Customers want more from us
than paying bills.*

*We need to go on a journey and
become a partner for our
customers.”*

Thomas Buberl
Chief Executive Officer, AXA Group



Long Term Initiatives with Short Term Wins



The AXA XL Construction Ecosystem combines:

- ❖ **Tech Adoption Services** including curated technologies & benchmarking;
- ❖ **Innovative Insurance Solutions** to support tech-forward contractors; and
- ❖ **Knowledge Networks** to elevate the industry

Our mission is to **advance construction risk management** through partnership, innovation, and invention.

Confidential - for use by intended recipient only



AXA XL Ecosystem

Innovate. Adopt. Insure.



Preferred Partners Portfolio

Our portfolio of solution providers are curated to help our clients reduce risk, promote ESG, and grow their businesses.

Discounts and/or preferred terms are available for AXA XL clients.



Risk Benchmarking Services

Our proprietary Risk Benchmarking Services are designed to help our clients advance risk management through comparative assessments and personalized recommendations.



Thought Leadership

Promoting a culture of innovation across the industries we serve through educational content, roundtable peer networks, and knowledge-sharing workshops.

[Learn more](#)



IRMI Construction Risk Conference | November 12-15, 2023 | Orlando, FL | #IRMI2023

780+

Solutions Screened

250+

Solutions Vetted

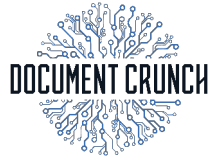
33

Active Partnerships



15

Partners with ESG benefits



CONSTRUCTION-SPECIFIC SOLUTIONS



AXA XL Ecosystem

Preferred Partner Portfolio

Our experienced team is here to help our clients explore and adopt solutions that fit their specific business needs.

Selected from hundreds of solutions, these partners are vetted by AXA XL's network of 75+ specialists through research, experience, and client testimonials.

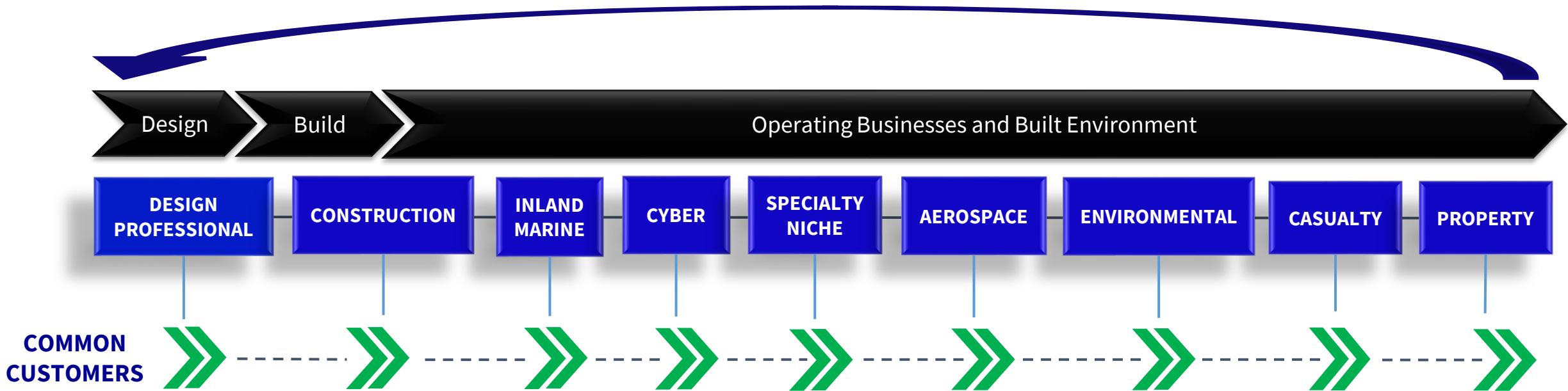
In addition to their core solutions, many of these support environmental, social, and governance (ESG) goals.

Discounts and/or preferred terms are available for AXA XL clients.



Click to learn more about our Preferred Partners

Solving Clients' Problems Across the Value Chain



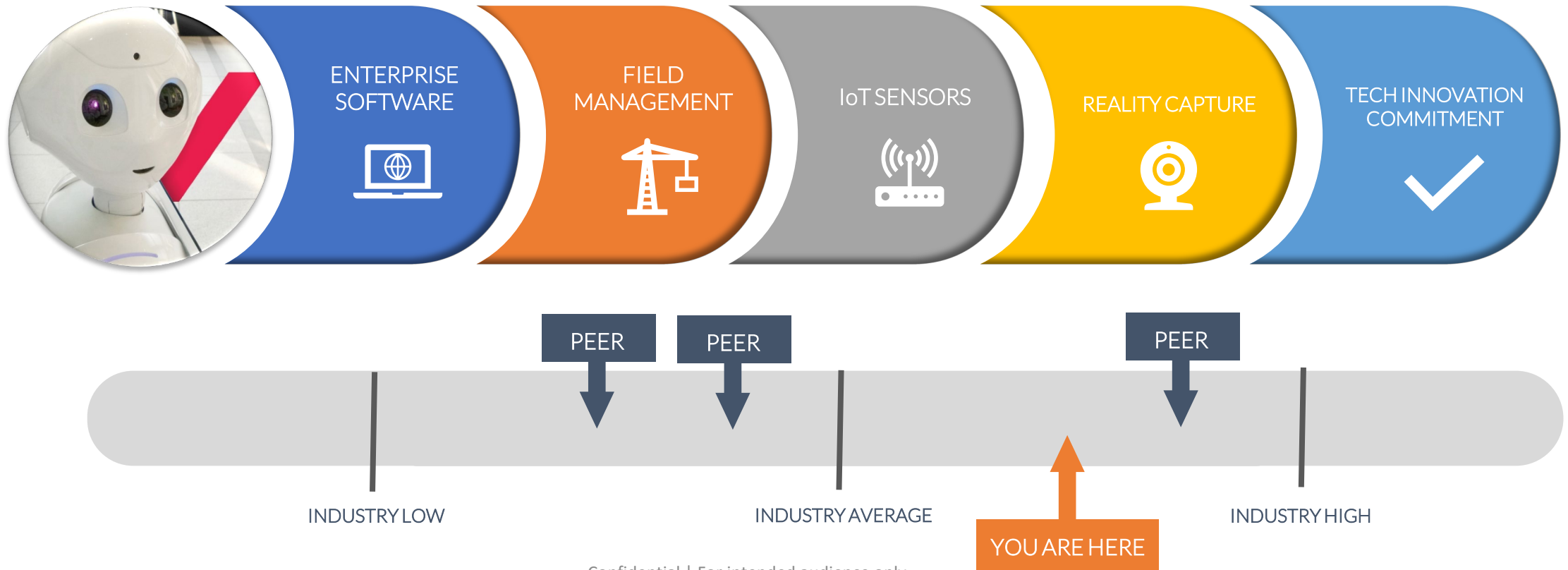
One Ecosystem

Reducing Risk. Promoting Innovation. Supporting ESG. Protecting What Matters.



Trends in Tech adoption in North American Construction

Technology Adoption Maturity Index (TAMI) is a unique benchmarking service that compares a contractor's level of technological maturity against the industry index and their peers



Trends in Tech adoption in North American Construction

TRENDS IN TECH ADOPTION

TOP ADOPTED TECH

- ❖ ERP (4.9)
- ❖ Project Management (4.7)
- ❖ CRM (4.2)
- ❖ Safety (4.3)
- ❖ Cloud Collaboration (4.0)
- ❖ Quality Management (3.9)

TOP LAGGING TECH

- ❖ Water Mitigation IoT (0.9)
- ❖ Augmented Reality (0.9)
- ❖ Worker Wearables (0.7)
- ❖ Digital Twin (0.6)

TOP EMERGING TECH

- ❖ Imagery
- ❖ Fleet Telematics
- ❖ Water Mitigation
- ❖ Field Communication
- ❖ Supply Chain Management

What are Knowledge Networks at AXA XL?

*Dynamic, collaborative peer networks of **Innovation Leaders and Sustainable Construction Leaders**, from our insured partners, who collectively source problems to solve, share knowledge, and develop shared strategies with a goal of elevating the industry. They are true powerhouses addressing some of the most challenging problems in construction today.*



The Challenges of Innovation and Tech:

- What is Innovation?
- Too many options – not enough solutions.
- What are tech adoption and innovation best practices?
- What are my peers doing?
- Where should innovation and technology report? Why does it matter?
- What's the ROI on Innovation and Technology?
- How do we create a company-wide culture of innovation and tech adoption?

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Justin Levine

CEO

Shepherd



BACKGROUND

Shepherd enables **builders** to reduce risk and prevent losses

Excess

Non-admitted

Primary

Admitted GL / AL / WC

A-, XII

A.M. Best Excellent rated

17

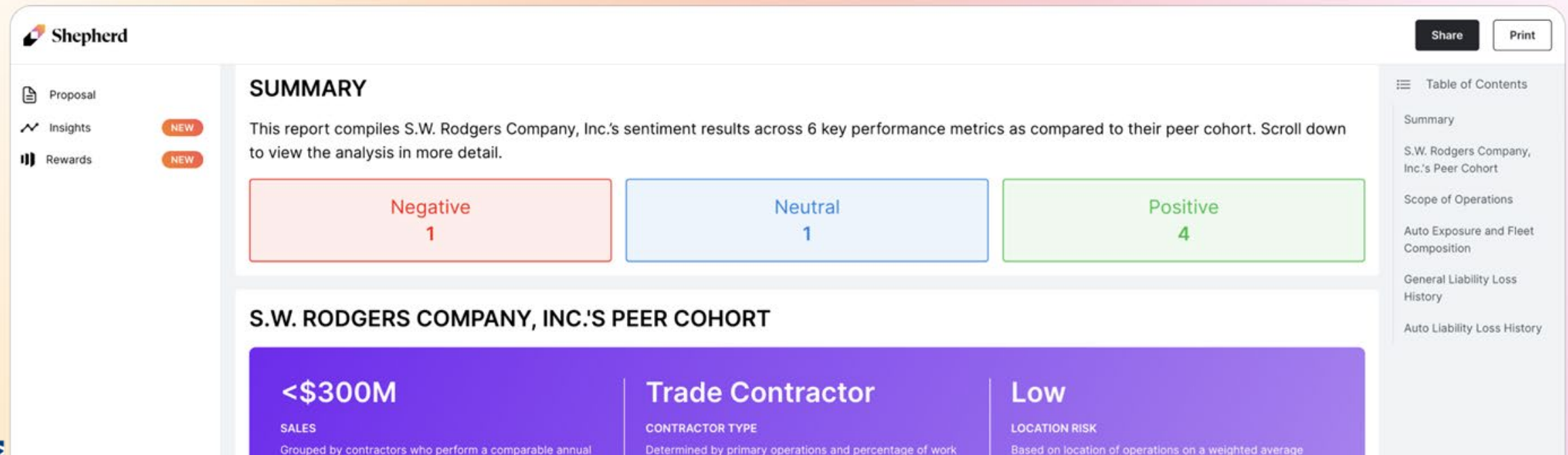
Retail broker partners



INTRODUCING SHEPHERD

Our platform enables contractors to get coverage, reduce risk, and save on premiums

We combine insurance capacity (MGU) with fast underwriting, risk management software, and a construction app marketplace



HOW IT WORKS

Shepherd's technology delivers unique value for brokers and clients partners

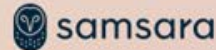


Decisions in minutes instead of weeks

Our technology enables an average response time of just **12 hours**



PROCORE



AUTODESK
Construction Cloud

Savings for builders who are using technology

Partnerships with leading Construction Tech products



Software that improves risk management strategy

Free tools to solve most common pain points and reduce losses



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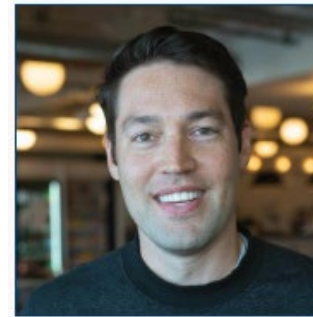
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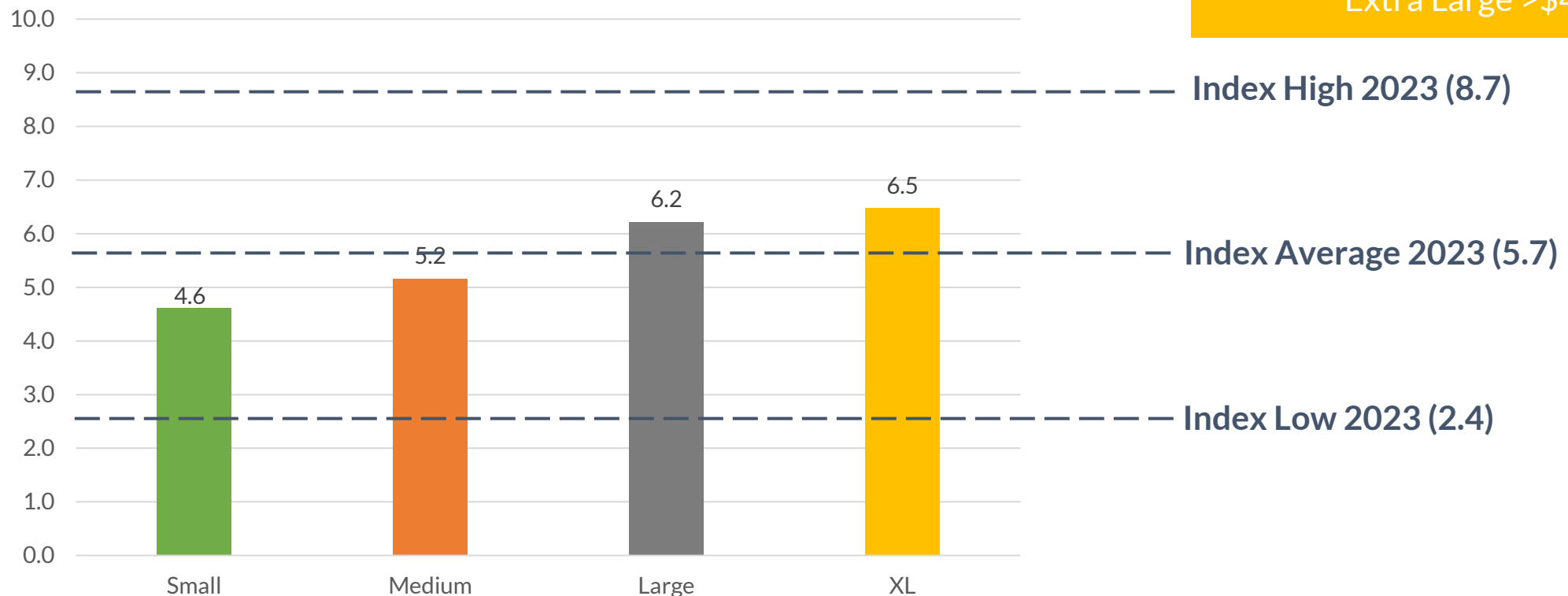
Shepherd



Trends in Tech adoption in North American Construction

AVERAGE TAMI SCORES

(by construction revenue)



Small <\$500M

Medium \$500M-\$1.5B

Large \$1.5B-\$4B

Extra Large >\$4B

Index High 2023 (8.7)

Index Average 2023 (5.7)

Index Low 2023 (2.4)

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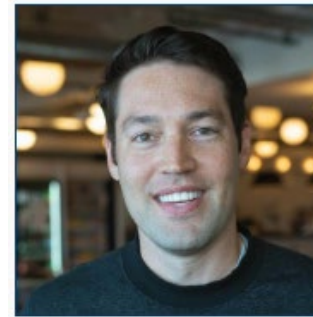
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